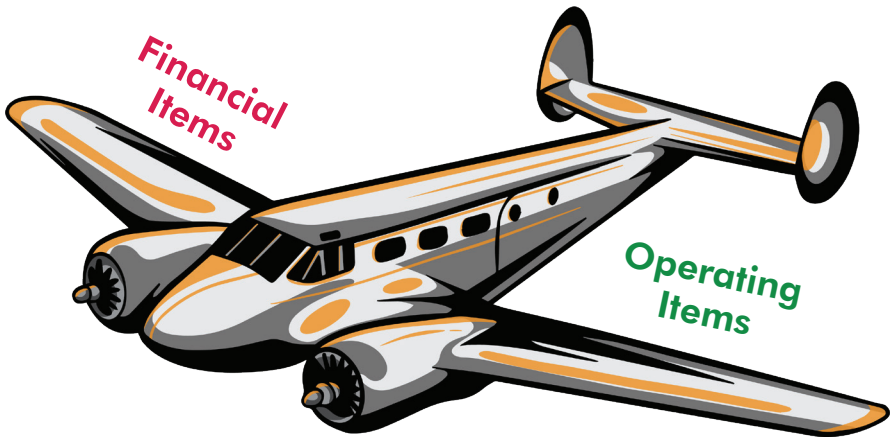


While discussing balance sheet and profit and loss statement, the different items can be categorised into two categories.

Let us discuss these two categories in detail.



➤ Financial assets or financial items

This category includes various financial assets or items, which include:

1. Different types of investments in mutual funds
 2. Investments in other assets like associates which are financial in nature and not strategic
 3. Any type of debt that the company might have taken.
 4. Loans and advances
-
- A central illustration depicting various financial concepts: a green piggy bank, several stacks of green banknotes, a small blue bank building with a sign that says 'BANK', a green plant growing out of a glass jar filled with coins, and a smartphone displaying a financial chart.

The company or the business has the right to decide on the financial assets or items. So any decision related to the above mentioned items can be taken by the company without any external intervention. In this case, the company or the business has a choice whether or not to work with these items.